

# WeWork: From a \$47,000M Valuation to Bankruptcy

WeWork transformed the traditional office model through flexible workspaces and rapid global expansion. Its growth strategy, however, generated mounting financial and operational pressure. This case examines how strategic, financial, and governance decisions contributed to the company's decline, through an integrated view of financial performance, operations, corporate governance, and stakeholder impact.

## The financial reality behind the growth story

WeWork reached a peak private valuation of \$47,000 million in 2019, supported by an investment thesis that treated the company as a high-growth technology platform rather than a real estate leasing business. This distinction explains the root of the problem: a real estate company is valued on its cash flow and its ability to cover long-term lease obligations, while a technology company is valued on its ability to scale revenue without scaling costs at a comparable rate. WeWork pursued the valuation associated with the latter category while operating under the cost structure of the former. The result was \$11,400 million in accumulated net losses between 2020 and June 2023, and a valuation that declined to roughly \$40 million by the time of the bankruptcy filing. The company did not demonstrate that its scale could translate into profitability, given that the underlying business model did not allow for it.

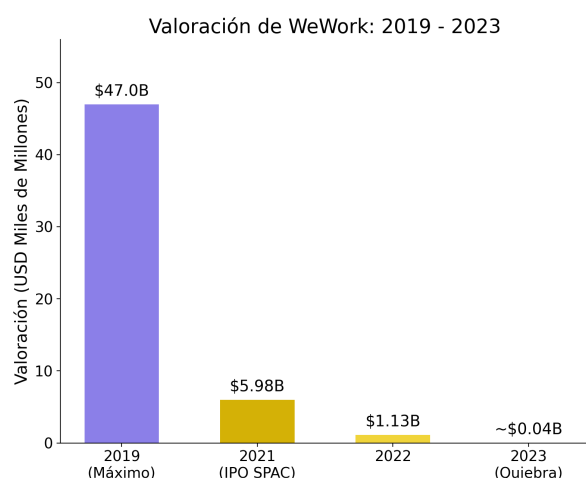


Fig. 1. WeWork valuation (USD M).

WeWork: Pérdidas Netas Acumuladas



Fig. 2. Accumulated net losses.

## The decisions behind the decline

Growth, governance, and financial decisions combined in the formation of an increasingly unsustainable system. Four decisions stand out as the case's turning points.

- 1. Growth ahead of financial sustainability.** Expansion and market presence were prioritized while fixed real estate commitments accumulated; short-term membership revenue never matched the long-term leases behind it.
- 2. Valuation ahead of fundamentals.** The failed 2019 IPO exposed the persistent losses behind the \$47,000 million valuation, along with governance concerns previously overlooked by private investors. This event constituted the turning point that initiated the company's decline.
- 3. Corporate governance and concentrated decision-making.** Co-founder and chief executive officer Adam Neumann held multiple-vote shares that granted him disproportionate control over the board, including conflict-of-interest transactions such as leasing his own properties to the company. The absence of an effective check prevented the board from forcing a course correction, such that the governance failure constituted the

mechanism that allowed the misalignment described above to persist for years without being questioned by an authority with real capacity to act.

**4. Limited resilience to demand shocks.** High fixed commitments left the business with no margin for error when the COVID-19 pandemic disrupted demand for office space in 2020.

The core problem did not reside in growth itself, but in the lack of alignment between growth, financial sustainability, operating commitments, corporate governance, and demand uncertainty.

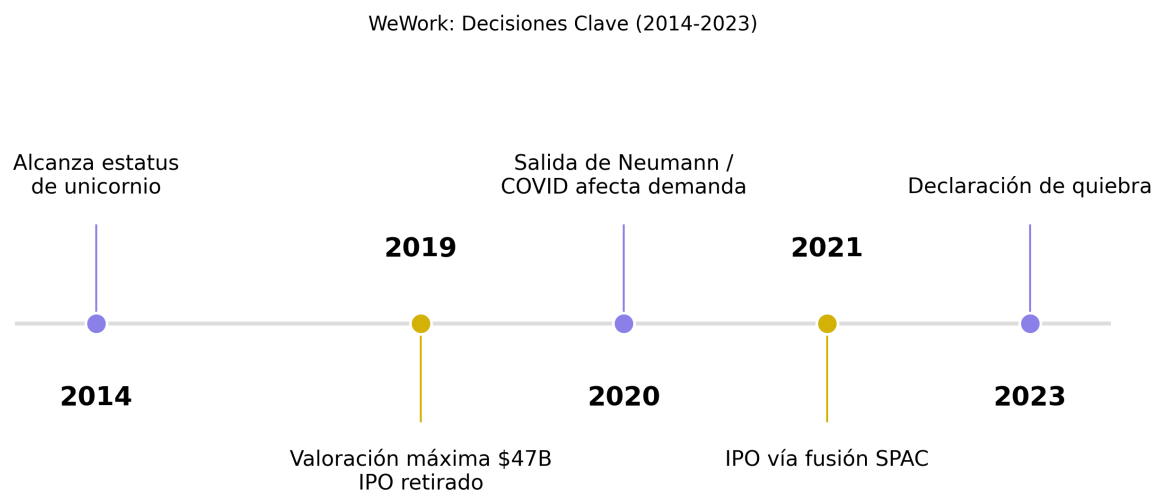


Fig. 3. Key decisions and turning points, 2014-2023.

## A comprehensive view of the business

The four decisions described above did not operate in isolation: each transferred risk to a different stakeholder group, and that risk ultimately materialized at the same moment (the 2020 demand shock), due to the absence of an internal mechanism capable of containing it beforehand.

| Stakeholder | Nature of the risk assumed and manner of materialization                                                                                                               |
|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Investors   | Funded a valuation built on technology-growth assumptions; once the real fundamentals surfaced in the 2019 IPO, the loss of value was immediate and nearly total.      |
| Landlords   | Assumed WeWork's revenue would be as stable as their own lease contracts; the mismatch with short-term memberships exposed them to defaults and forced renegotiations. |
| Employees   | Absorbed the human cost of unchecked growth through successive rounds of layoffs once access to low-cost capital disappeared.                                          |
| Customers   | Depended on an offering whose financial viability was never transparent; changes in space availability and service reflected that instability.                         |

## From data to decision

WeWork's decline cannot be explained by financial performance alone. The business operated as an interconnected system in which strategic decisions simultaneously affected operations, financial sustainability, governance, and stakeholders. A failure in one area amplified risk in the others, and no single metric, including the \$47,000 million valuation, would have allowed that structural fragility to be identified in time.

### Key business lessons

- 1. Validate unit economics before scaling.** WeWork never proved that a single location was profitable before replicating the model across more than 100 cities — scaling a money-losing operation only multiplies the loss.
- 2. Size risk around the most rigid commitment.** The mismatch between 10-15 year leases and memberships cancellable with 30 days' notice shows why an expansion strategy should be judged by its exposure in the downside scenario, not its potential in the upside one.
- 3. Governance is a risk control, not a formality.** WeWork had warning signs well before 2019 — what was missing was not information, but a board with real authority to demand a change in strategy in response to them.

### Conclusion

WeWork did not collapse because of a single mistake, but because growth, valuation, corporate governance, and financial resilience drifted out of alignment for years without any internal mechanism correcting course. The central lesson is that no single metric, not even a \$47,000 million valuation, replaces the discipline of validating a business's real profitability and maintaining governance strong enough to halt that misalignment before the market does it by force.

### References

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